

S. EXPERIENCE CREDIT RULE

1. Eligibility

- a. When the premium at the inception date is \$1,500 or more excluding Equipment Breakdown and Employment Practices Liability, prior to the application of a Scheduled Premium Modification Factor, an Experience Credit for a favorable loss ratio shall apply to that premium. Losses used to calculate the loss ratio are to include loss and loss adjusting expense reserves on open claims, and allocated loss adjusting expenses, but not Equipment Breakdown - Boiler and Machinery Coverage losses.
- b. This credit shall not be applied as a new credit during the policy term.
- c. When the credit applies at the inception, any changes occurring during the policy period will reflect this credit.

2. New Business

Documented experience must be obtained from the prior carrier for this credit to apply. This experience must include not less than the thirty (30) consecutive month period that begins thirty six (36) months prior to the proposed inception date.

<u>Loss Ratio</u>	<u>Credit</u>
Up to 25%	10%
25.01% to 35%	5%

3. Renewal Business

- a. The loss ratio shall be calculated based upon the latest available Florists' Mutual premium and losses at the time the policy is renewed. All premiums and losses up to three (3) years prior to the renewal date must be included. The experience of a prior carrier shall not be used.
- b. For the appropriate renewal year, the policyholder will earn the larger of the experience credits they qualify for based on the table shown below:

Renewal Year	Combined Yrs Loss Ratio Is 25% Or Less (Max. - 3 Latest Yrs)	Combined Yrs Loss Ratio Is More Than 25% And Less Than 35% (Max. - 3 Latest Yrs)	Combined Yrs Loss Ratio Is More Than 35% And Less Than 40% (Max. - 3 Latest Yrs)	Loss Ratio Is Less Than 25% In 2 Out Of The Last 3 Years	Loss Ratio Is Less Than 40% In 2 Out Of The Last 3 Years
1st	10%	5%	0%	N/A	N/A
2nd	15%	7.50%	5%	N/A	N/A
3rd and Later	20%	10%	5%	10%	5%

4. Exposure Codes: Property = 797
 Liability = 798